

REAL INTEREST RATES

We've had huge swings in interest rates since 1980. I assume a one-year CD rate of 8 percent in this book. I use 8 percent consistently and it seems as good a choice as any. But in 1981 one-year CD rates rose to 17 percent and higher. In early 1987 rates fell to 7 percent and lower.

But those swings from 17 percent to 7 percent tell only part of the story. To know what we can spend we must compare interest rates with inflation. "Real" interest refers to the excess of interest over inflation. If interest is 8 percent and inflation 3 percent, the real rate is 5 percent. (To be precise, the real rate is 1 plus 8 percent divided by 1 plus 3 percent, less 1, or 4.85 percent. But simple subtraction—interest less inflation—serves the purposes of this discussion.) Real interest is what we have left after we set aside enough additional cash to keep our capital intact. It's the amount young retirees can spend on taxes and living expenses.

The history of real rates divides into two parts: pre-1980 and post-1980. Before 1980 the Federal Reserve Board's Regulation Q strictly limited the amount of interest banks could pay on deposits. With Regulation Q, real rates generally hovered around 2 or 3 percent. During periods of high inflation, real rates went negative.

But the Fed and Congress started to deregulate our financial markets in the late 1970s. Deregulation occurred in phases, but by 1980 the process was nearly complete. I remember opening my first money-market account, called a Merrill Lynch Redi-Credit Account, in 1980. You may have done the same. For the first time in modern history, money-market accounts offered high yields to the American saver. And real rates skyrocketed.

The following table shows real rates during the deregulation era. "Interest" is the one-year CD rate at mid-year. "Inflation" is the U.S. consumer price index for food. I use the food index, rather than the composite index, to reflect how we spend under the \$50-a-Day Rule. (The composite